

BSE has gone up sharply...

Honestly, I am not looking at market share. I want 400 brokers to be enabled. I want 250 FPIs... currently, I have 50... I have a specific set of members in mind, who are in India but are not with BSE. I want to grow the second week, third week or the long-term monthly options. I want more institutional presence that brings balance and vibrancy in the cash market as well... because they will use the same infrastructure for the cash segment. That is how the derivatives journey has been

success are the brokers who gave me correct guidance, and my employees. We are working in a 150-year-old organisation and consistently we have seen reduction in volumes. In such an organisation, for the employees to suddenly gear up and say 'Look, this man is asking me to work more; I should work more,'—I consider it as a big act of kindness. In the [past] 11 months, I would have done at least four to five town halls with not just BSE alone, but the entire BSE group. I told them I want to make this organisation vibrant,

"The new BSE is well-placed to get a share of the large options market in India, powered by the new generation of options traders... The go-live of large discount brokers and increase in active UCCs (Unique Client Codes) is driving volume for BSE," stated the report.

The analyst community is not the only one that has recognised BSE's progress. Even those that have been closely associated with the exchange in the past are acknowledging the initial success. "Derivatives have proven to be the Achilles heel for BSE for long, but it seems that now the right steps are being taken and it is coming up in a good way to begin with," says Rajnickant Patel, Co-founder of RUHN Global Advisory LLP and a former BSE CEO himself.

"If you have two exchanges in the Indian capital markets then we equally need both the exchanges to derisk the ecosystem. If the market share in any segment is highly skewed, then it poses a systemic risk to the entire capital markets. This is important from the perspective of risk management and risk mitigation. The way the BSE F&O segment is developing, I think it is going in the right direction," adds Patel.

Indeed, there are two leading stock exchanges and the strong existence of both is important for the overall safety and robustness of the Indian capital markets, say experts. And while one may feel that BSE and NSE are engaged in cut-throat competition, the heads of both the bourses believe that they complement each other.



"I WANT TO MAKE BSE A VIBRANT PLACE. IN MY OPINION, CONCENTRATION IN ANYTHING IS NOT GOOD, ESPECIALLY FOR A COUNTRY OF INDIA'S SIZE AND STRUCTURE"

and we are very happy that 1.5 million investors regularly trade Sensex derivatives. But it should be 15 million as we are aspiring to deepen the market.

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You mentioned putting building blocks in place. Is that why the strategy worked this time, as this isn't the first time that BSE has tried to revive the derivatives segment?

I can't take credit for whatever success we have seen. Those who should take credit for the

but I am finding these challenges. I told them we all will have to be very cautious about regulation, compliance and governance. I told them that you need to tell me and advise me what the weaknesses are, what resources you want, how I can garner those resources. If at all I can say that we are moving towards success, the credit does not go to me; it is because of so many people, including the board, who are supporting me. **BT**

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